

That fact defeats all of Plaintiff's claims under the Act. Plaintiff purchased the Vehicle in Idaho from Dennis Dillon Dodge Chrysler Jeep, not in California. (UMF #1-2.) The governmental interest test is inapplicable here. The governmental interest test applies in situations where there is a choice of law issue. (*Kearney v. Salomon Smith Barney, Inc.* (2006) 39 Cal.4th 95, 100.) The situation before the court is not about choosing to apply Idaho law over California law, or vice versa. It is about the fact that the California law under which Plaintiff brings most of his causes of action does not apply to goods bought outside of California.

Civil Code section 1791, subdivision (n) states that a "sale" within the meaning of the Act means "the passing of title from the seller to the buyer for a price" or "a consignment for sale." However, California law holds that title passes on delivery of goods. (*Davis v. Newmar Corp.* (2006) 136 Cal.App.4th 275, 278.) FCA's evidence before the court shows that Plaintiff received the Vehicle in Idaho. (Declaration of Skyler Lee Souza in Support of Motion at ¶ 6, Exhibits B-C [repair orders from Idaho dealership showing predelivery and delivery checklists and cleaning].) Plaintiff presents no evidence raising a triable issue of material fact in response. Thus the Act does not apply to this case.

Fraudulent Inducement. Plaintiff's tort claim for fraudulent inducement is not barred by the fact that the Vehicle was purchased in Idaho. It is undisputed that Plaintiff purchased the vehicle in Idaho from an authorized dealership. (See UMF #1-2.) It is also not barred by the economic loss rule.

Under California law, the economic loss rule does not bar a plaintiff's claim for fraudulent inducement by concealment which is an exception to the economic loss rule recognized in *Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988. (*Dhital v. Nissan North America Inc.* (2022) 84 Cal.App.5th 828, 835 [concealment-based claims for fraudulent inducement are not barred by the economic loss rule].) Plaintiff's fraudulent inducement claim is not based upon alleged conduct committed during the contractual relationship, but presale conduct in which defendant allegedly concealed a known defect in its vehicle. This alleged breach of duty giving rise to tort liability is independent of the underlying contract and is not a cause of action seeking to recover for economic loss due to "disappointed expectations." (*Id.* at pp. 840-841)

Conclusion. The court grants FCA's motion for summary adjudication as to the first, second, third and fourth causes of action. The motion is denied with regard to Plaintiff's sixth cause of action for fraudulent inducement.

CHAVEZ v. RIGHT NOW AIR
Case No. CU24-02605

Demurrer to Answer filed by Plaintiff

TENTATIVE RULING

Plaintiff's demurrer to defendant's answer to the second amended complaint is
OVERRULED.

The court finds that the affirmative defenses alleged in defendant's answer to the second amended complaint state facts sufficient to constitute a defense in that they allege ultimate facts sufficient to give plaintiff notice of the defense alleged. (*Perkins v. Superior Court* (1981) 117 Cal.App.3d 1, 6, and *South Shore Land Co. v. Petersen* (1964) 225 Cal.App.2d 725, 732).

If an affirmative defense does not raise new matter separate and distinct from the general denial, it is nevertheless permissible. "Under a general denial, the defendant may urge any defense tending to show that the plaintiff has no right to recover or no right to recover to the extent that he or she claims." (*Advantec Group, Inc. v. Edwin's Plumbing Co., Inc.* (2007) 153 Cal.App.4th 624, 627).

As to the affirmative defenses that allege equitable doctrines, the court notes that in the prayer of the complaint, plaintiff seeks restitution and injunction. Where equitable relief is requested, affirmative defenses that allege equitable doctrines are appropriate.

Department 8 is inviting you to a scheduled ZoomGov meeting.

<https://solano-courts-ca-gov.zoomgov.com/j/1619704645?pwd=aUwyYUFUcU5EazI6SEkrcmcrRnRLUT09>

Meeting ID: 161 970 4645
Passcode: 675002